

El Niño: The economic impact for New Zealand

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A developing El Niño pattern threatens an increased risk of drought in many parts of New Zealand. This report looks at where the impact may fall, the potential mitigants, and the macro implications.



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Cruel summer.

- A strong El Niño is developing and could intensify further, raising the risk of hot, dry conditions across parts of New Zealand over summer, especially in eastern regions and the upper North Island.
- The main economic risk is to pasture-based agriculture, particularly dairy, sheep and beef, where drought can reduce pasture growth, lower production, lift costs and disrupt processing patterns across the season.
- Past severe droughts have subtracted as much as 1 percentage point from GDP growth – we'd emphasise that this as an upper bound on the potential impact rather than a prediction.
- Greater irrigation coverage, stronger drought preparedness and favourable starting soil moisture conditions mean that the agricultural sector is better placed than it was going into the last El Niño-led drought in 1997-98.
- Inflation effects are likely to be mixed but tilted higher overall, with potential upward pressure on dairy and imported food prices, partly offset by near-term downward pressure on meat prices.
- For the RBNZ, El Niño is best viewed as a risk to monitor rather than a trigger for immediate policy action, unless food price pressures spill into inflation expectations or broader pricing behaviour.

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